

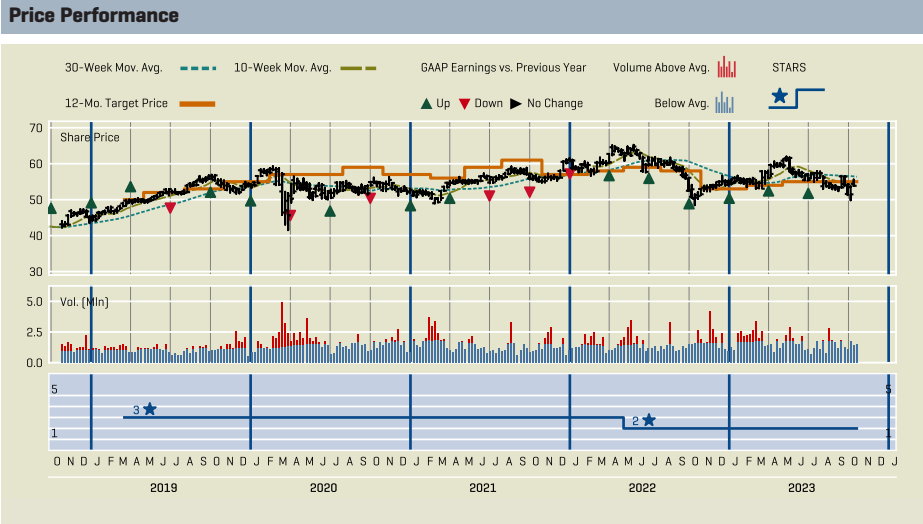
Recommendation **SELL** ★ ★ ★ ★ ★

Price **CAD 53.54** [as of market close Oct 20, 2023] **12-Mo. Target Price CAD 55.00** Report Currency **CAD** Investment Style **Large-Cap Blend**

Equity Analyst **Daniel Rich, CFA**

GICS Sector Utilities **Summary** Fortis owns regulated electric and natural gas utilities in the U.S., Canada, and the Caribbean. **Sub-Industry** Electric Utilities It also owns unregulated generation and natural gas storage.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)							
52-Wk Range	CAD 62.0 - 49.82	Oper.EPS2023E	CAD 2.99	Market Capitalization[B]	CAD 26.15	Beta	0.20
Trailing 12-Month EPS	CAD 2.96	Oper.EPS2024E	CAD 3.11	Yield [%]	4.41	3-yr Proj. EPS CAGR[%]	5
Trailing 12-Month P/E	18.09	P/E on Oper.EPS2023E	17.91	Dividend Rate/Share	CAD 2.36	SPGMI's Quality Ranking	A-
CAD 10K Invested 5 Yrs Ago	15,129.0	Common Shares Outstg.[M]	486.00	Trailing 12-Month Dividend	CAD 2.29	Institutional Ownership [%]	54.0



Analyst's Risk Assessment		
LOW	MEDIUM	HIGH

Our risk assessment reflects Fortis's relatively stable earnings growth and cash flows that are largely derived from its regulated natural gas and electric utilities. In our view, the higher risk unregulated businesses are sufficiently small to not pose substantial risks either operationally or financially.

Revenue/Earnings Data					
Revenue (Million CAD)					
	1Q	2Q	3Q	4Q	Year
2024	E 3,252	E 2,637	E 2,684	E 3,268	E 11,941
2023	3,319	2,594	E 2,737	E 2,907	E 11,557
2022	2,835	2,487	2,553	3,168	8,243
2021	2,539	2,020	2,196	2,535	9,400
2020	2,391	2,077	2,121	2,346	8,935
2019	2,436	1,970	2,051	2,326	8,783

Earnings Per Share (CAD)					
	1Q	2Q	3Q	4Q	Year
2024	E 0.84	E 0.72	E 0.79	E 0.76	E 3.11
2023	0.91	0.62	E 0.73	E 0.73	E 2.99
2022	0.78	0.57	0.71	0.72	2.78
2021	0.77	0.55	0.64	0.63	2.59
2020	0.68	0.56	0.65	0.69	2.58
2019	0.74	0.54	0.66	0.62	2.55

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data				
Amount [CAD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.5900	Sep 18	Nov 16	Nov 17	Dec 01 '23
0.5650	Aug 01	Aug 18	Aug 21	Sep 01 '23
0.5650	Feb 09	May 16	May 17	Jun 01 '23
0.5650	Nov 17	Feb 14	Feb 15	Mar 01 '23

Dividends have been paid since 1988 . Source: Company reports **Past performance is not an indication of future performance and should not be relied as such.** Forecasts are not a reliable indicator of future performance. Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

Source: CFRA, S&P Global Market Intelligence **Past performance is not an indication of future performance and should not be relied upon as such.** Analysis prepared by **Daniel Rich, CFA** on Sep 19, 2023 09:48 PM ET, when the stock traded at **CAD 54.98**.

Highlights	Investment Rationale/Risk
▶ We expect revenue will grow near 4.5%-5.0% in 2023, followed by 3.0%-3.5% growth in 2024. Revenue increased nearly 17% in 2022, supported by retail electric sales growth in several service territories, as well as favorable FX. We expect rate updates at Fortis Alberta and TEP (Arizona) to support revenues, offset by less favorable first half weather. ▶ We anticipate an EBIT margin near 26.5% in 2023 and 26.5%-27.0% in 2024, compared to 24.8% in 2022. We attribute 2022's declining margin to sales growth outpacing profit growth, somewhat driven by inflation in operations and maintenance costs. We expect rate increases and returns on capital investments to support margin growth, offset by higher depreciation costs. ▶ FTS's 2024-2028 capex plan of \$25.0B has around 27% spending targeted at clean energy. FTS has shown strong execution thus far on its goal of reducing Scope 1 carbon emissions 75% by 2035 (based on 2019 levels), with a 28% reduction in greenhouse gas emissions from 2019-2022. Much of FTS's planned investment in wind, solar, and energy storage in Arizona is not expected to occur until the latter half of the decade, however. FTS plans for coal-free operations by 2032.	▶ Shares recently traded roughly 11% above the peer median (based on 2024 consensus EPS), and our Sell opinion reflects our view that FTS does not merit its historical peer premium given slower near-term EPS and dividend growth expectations. On a three-year (2023-2026) CAGR basis, we expect EPS growth near 5.1%, below the recent 6.4% median for S&P 1500 electric utilities, while we expect dividend growth near 4.8% vs. the peer median of 5.7%. FTS recently received a final order in the TEP [AZ] electric rate case and will see a \$100M rate increase (about 43% of the original request) with a 9.55% authorized ROE (vs. the 10.25% original request). We see this as an average outcome in the current utility regulatory environment. Shares recently yielded 4.3%, in line with the peer median. ▶ Risks to our recommendation and target price include more constructive regulatory outcomes and strengthening economic conditions in FTS's service territories within the U.S. and Canada. ▶ Our 12-month target of CAD55 is 17.7x our 2024 EPS estimate, a discount to FTS's five-year historical average, reflecting somewhat weaker near-term EPS and dividend growth trajectories compared to peers, in our view.

Fortis Inc.

Business Summary Sep 19, 2023	Corporate information																			
CORPORATE OVERVIEW. FTS is primarily a natural gas and electric utility company with investments in electricity generation, transmission, and distribution and gas transmission and distribution, predominantly within rate-regulated utilities located in the U.S., Canada, and the Caribbean. FTS operates through two operating segments. These include Regulated Utilities [98.6% of 2022 revenues] and Non-regulated - Energy Infrastructure [1.4%]. Regulated Utilities includes ITC [17%], UNS Energy [25%], Central Hudson [12%], FortisBC Energy [19%], Fortis Alberta [6%], FortisBC Electric [4%], and Other Electric [15%]. MARKET PROFILE. ITC owns and operates approximately 25,800 km of high-voltage electric transmission systems across Michigan and several other U.S. states, primarily in the Midwest. UNS Energy is a vertically integrated utility based in Arizona that provides electric and/or gas services to approximately 712,000 retail customers. UNS provides electric utility services through the Tucson Electric and UNS Electric utilities, while it provides natural gas utility services through UNS Gas. In 2022, 35.3% of UNS Energy electric revenues came from residential customers, 17.8% commercial, 12.8% industrial, 18.2% wholesale, and 15.9% other (includes transmission and alternative revenue sources). Central Hudson is an electric and gas transmission and distribution company with around 300,000 electricity and 80,000 natural gas customers in New York. 2022 electric revenues were approximately 62% residential, 29% commercial, 3% industrial, 2% wholesale, and 4% other. FortisBC Energy is a natural gas distributor in British Columbia with about 1,076,000 customers. 2022 gas revenues were 56.9% residential, 32.1% commercial, 7.1% industrial, and 3.9% other. Fortis Alberta is an electric distribution company with 584,000 customers near the Canadian cities of Edmonton and Calgary. In 2022, electric revenues were approximately 44% residential, 25% commercial, 18% industrial, and 12% other. FortisBC Electric is an integrated electric utility serving 188,000 customers in British Columbia. In 2022, electric revenues were 50% residential, 26% commercial, 11% industrial, and 13% wholesale. Other Electric is comprised of Newfoundland Power [274,000 customers], Maritime Electric [88,000, mostly on Prince Edward Island], FortisOntario [68,000], Caribbean Utilities [33,000, Grand Cayman], and Fortis TCI [17,000, Turks and Caicos]. It also owns a 39% interest in the Wataynikaneyap Partnership (a transmission development partnership). In 2022, electric revenues were approximately 57% residential, 38% commercial, 2% industrial, and 3% other. The Non-Regulated - Energy Infrastructure is primarily comprised of long-term contracted hydroelectric generation assets in Belize and a gas storage facility in British Columbia. CORPORATE STRATEGY. FTS aims to support growth in revenues, earnings per share, and dividends through its capital expenditures program, through which the company guides for around a 6.3% compounded annual rate base growth and 4%-6% dividend growth from 2023-2028. FTS has a \$25.0 billion capital investment plan from 2024-2028, with significant amounts allocated to electric distribution, electric transmission, and clean and renewable energy capabilities, in our view. FTS maintains a net-zero greenhouse gas emissions target of 2050, in line with several North American utilities. LEGAL/REGULATORY ISSUES. The August 2023 order in the TEP (Arizona) electric rate case granted a rate increase of approximately \$100M, around 43% of the revenue increase requested by FTS, along with a 9.55% authorized ROE [vs. 10.25% original request], in line with recent industry averages. New rates began September 1. FINANCIAL TRENDS. FTS’s capital expenditures totaled CAD3.865 billion in 2022, up from CAD3.386 billion in 2021, reflecting a 5% compounded annual growth rate (CAGR) from 2017-2022. Earnings per share (EPS) grew at a 1.9% CAGR over the same period. As of year-end 2022, FTS maintained total debt to capitalization of 56%, below our expectation for a near 60% electric utilities median. We anticipate a dividend payout ratio near 76% in 2023, above peers and above FTS’s 75% five-year average from 2018-2022. In 2024, we expect a dividend payout ratio of 77%.	Investor contact S. A. Amaimo [709 737 2800] Office Fortis Place, Suite 1100, Saint John’s, Newfoundland and Labrador, A1B 3T2 Telephone 709 737 2800 Fax 709 737 5307 Website www.fortisinc.com Officers <table><tr><td>Vice President of Innovation & Technology K. D. Woodbury</td><td>Executive Vice President of Operations & Innovation G. J. Smith</td></tr><tr><td>Executive VP of Sustainability & Chief Legal Officer J. R. Reid</td><td>President, CEO & Director D. G. Hutchens</td></tr><tr><td>Independent Chair J. M. Zurel</td><td>Executive VP & CFO J. H. Perry</td></tr></table> Board Members <table><tr><td>D. G. Hutchens</td><td>L. M. Crutchfield</td></tr><tr><td>D. R. Marchand</td><td>L. T. Borgard</td></tr><tr><td>G. M. Manes</td><td>M. J. Clark</td></tr><tr><td>J. A. Dobson</td><td>M. K. Dilley</td></tr><tr><td>J. M. Zurel</td><td>P. J. Blouin</td></tr><tr><td>L. L. Durocher</td><td>T. C. Ball</td></tr></table> Domicile Canada Auditor Deloitte & Touche LLP Founded 1885 Employees 9,200 Stockholders N/A		Vice President of Innovation & Technology K. D. Woodbury	Executive Vice President of Operations & Innovation G. J. Smith	Executive VP of Sustainability & Chief Legal Officer J. R. Reid	President, CEO & Director D. G. Hutchens	Independent Chair J. M. Zurel	Executive VP & CFO J. H. Perry	D. G. Hutchens	L. M. Crutchfield	D. R. Marchand	L. T. Borgard	G. M. Manes	M. J. Clark	J. A. Dobson	M. K. Dilley	J. M. 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Fortis Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST				HIGHEST
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].				
Fair Value Calculation	CAD 37.72	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that FTS is overvalued by CAD 15.82 or 29.55%			
Volatility	LOW		AVERAGE	HIGH	
Technical Evaluation	NEUTRAL	Since September, 2023, the technical indicators for FTS have been NEUTRAL"			
Insider Activity	UNFAVORABLE		NEUTRAL	FAVORABLE	

Expanded Ratio Analysis				
	2022	2021	2020	2019
Price/Sales	2.35	3.05	2.71	2.68
Price/Tangible Book Value	4.84	6.30	6.08	6.85
Price/Pretax Income	14.39	17.55	14.94	11.01
P/E Ratio	19.49	23.56	20.23	21.13
Avg. Diluted Shares Outstg. [M]	479.00	471.40	465.40	437.50
Figures based on fiscal year-end price				

Key Growth Rates and Averages				
Past Growth Rate [%]	1 Year	3 Years	5 Years	
Net Income	7.73	NM	6.28	
Revenue	16.88	7.93	5.87	
Ratio Analysis [Annual Avg.]				
Net Margin [%]	12.62	13.53	14.82	
% LT Debt to Capitalization	49.97	50.58	50.99	

Company Financials Fiscal year ending Dec 31										
Per Share Data [CAD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	11.19	9.69	8.55	7.87	2.75	1.56	-1.00	11.88	9.70	11.03
Free Cash Flow	-1.79	-1.15	-3.02	-2.57	-1.60	-0.80	-0.81	-2.44	-3.57	-1.65
Earnings	2.78	2.61	2.60	3.78	2.59	2.31	1.89	2.59	1.38	1.63
Earnings (Normalized)	2.78	2.59	2.57	2.55	2.51	2.53	2.33	2.11	1.81	1.65
Dividends	2.17	2.05	1.94	1.83	1.72	1.62	1.52	1.40	1.28	1.24
Payout Ratio (%)	52.87	51.85	66.80	32.58	45.03	47.08	58.79	38.38	67.55	57.80
Prices: High	65.26	61.54	59.28	56.94	47.36	48.73	44.87	42.23	40.83	35.14
Prices: Low	48.45	48.97	41.52	44.00	39.38	40.59	35.53	34.16	29.78	29.51
P/E Ratio: High	23.50	23.80	23.10	22.30	18.90	19.30	19.30	20.00	22.60	21.30
P/E Ratio: Low	17.40	18.90	16.20	17.30	15.70	16.00	15.20	16.20	16.50	17.90
Income Statement Analysis [Million CAD]										
Revenue	11,043	9,448	8,935	8,783	8,390	8,301	6,838	6,757	5,401	4,047
Depreciation + Amortization	1,668	1,505	1,428	1,350	1,243	1,179	983.00	873.00	688.00	541.00
Operating Expenses	-92.00	-45.00	-31.00	-11.00	2.00	11.00	N/A	N/A	N/A	N/A
Effective Tax Rate (%)	16.00	14.30	14.30	13.50	11.40	34.30	16.90	21.00	14.60	7.40
Net Income	1,394	1,294	1,274	1,722	1,166	1,028	660.00	805.00	379.00	410.00
Net Income [Normalized]	1,018	910.90	897.50	840.60	786.90	943.00	590.10	538.10	307.10	293.10
Balance Sheet and Other Financial Data [Million CAD]										
Gross Property	56,210	51,230	48,712	46,262	44,475	40,249	40,193	27,868	25,555	16,600
Net Property	41,706	37,856	36,038	34,034	32,757	29,668	29,337	19,595	17,843	12,267
Capital Expenditures	3,587	3,189	3,857	3,499	3,032	2,813	1,912	2,163	1,656	1,135
Capital Expend to Revenue (%)	32.50	33.80	43.20	39.80	36.10	33.90	28.00	32.00	30.70	28.00
% Long Term Debt of Capitalization	50.00	50.60	51.20	49.70	53.60	53.40	53.20	48.00	48.30	45.50
Capitalization: Common	19,407	17,665	17,074	16,908	14,910	13,380	12,974	8,060	6,871	4,772
Capitalization: Preferred	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Fixed Charges Coverage	2.47	2.41	2.34	2.30	2.35	2.60	2.42	2.46	1.78	2.07
% Operating Ratio	40.75	42.54	44.40	43.52	42.98	43.98	37.99	34.07	31.68	34.42
% Net Income Margin	12.62	13.70	14.26	19.61	13.90	12.38	9.65	11.91	7.02	10.13
% Return on Invested Capital	3.58	3.41	3.59	3.57	3.60	3.95	3.26	4.13	3.67	4.07
% Return on Common Equity	7.20	7.10	7.10	10.40	7.80	7.30	5.60	9.80	5.40	7.60

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Fortis Inc.**Sub-Industry Outlook**

Our 12-month fundamental outlook for electric utilities is neutral. We see U.S. retail electric demand growing slowly over the near term, with the higher interest rate environment posing headwinds for industrial production and new housing. Although they do not expect a recession, Action Economics forecasts an increase in unemployment levels in both 2023 and 2024, which can lead to lower power demand across the residential, commercial, and industrial sectors. In the first half of 2023, we saw milder temperatures negatively impact many utilities by lowering power demand, though the U.S. Energy Information Administration (EIA) forecasts imply more favorable weather trends in 2024 with higher U.S. average cooling degree days and heating degree days. EIA data forecasts a near 1.5% decline in retail electricity sales (in billions of kilowatthours) during 2023 before sales recover by around 2.1% in 2024. We think these factors support the conservative guidance for electric load growth recently provided by many utilities.

We expect some operating headwinds to moderate in the near term. Operations and maintenance expenses significantly increased for utilities due to recent inflation in labor and supply costs. With utilities typically maintaining average total debt to capitalization levels near 60%, the industry saw increased borrowing costs and higher interest expenses as a result of the recent rise in interest rates. However, recent quarterly results indicate that many utilities are seeing falling operations and maintenance costs relative to 2022 levels, with many companies heightening their focus on operating efficiency and cost controls. Many market participants expect that the rising interest rate environment will soon come to an end, which we think would benefit the sector.

On the regulatory front, we continue to see some strictness in utility rate cases. When looking at electric rate cases, authorized return on equity (ROE), a key driver of utility earnings, appears to be stagnant thus far in 2023. Regulatory Research Associates electric rate case data through August 20, 2023 showed average authorized ROE of

9.54%, flat with the 2022 full-year average. We expect tight regulatory conditions to continue in the near term and anticipate largely neutral or moderately-constructive outcomes, though we are cautious about upcoming decisions in more challenging jurisdictions such as Arizona.

We expect positive earnings contributions from record levels of capital investment, including electric and gas infrastructure upgrades and clean power generation such as wind, solar, and battery storage. Capital spending expands utility rate bases, typically leading to rate increases and providing utilities opportunities to utilize tax incentives for clean energy investments, which were extended under the Inflation Reduction Act. Capital spending increased around 8.6% for electric utilities during 2022, reaching an all-time high of \$96.8 billion for the sub-industry. We currently expect sub-industry capital spending of \$101.8 billion in 2023 [+5.2%], followed by \$108.1 billion in 2024 [+6.2%].

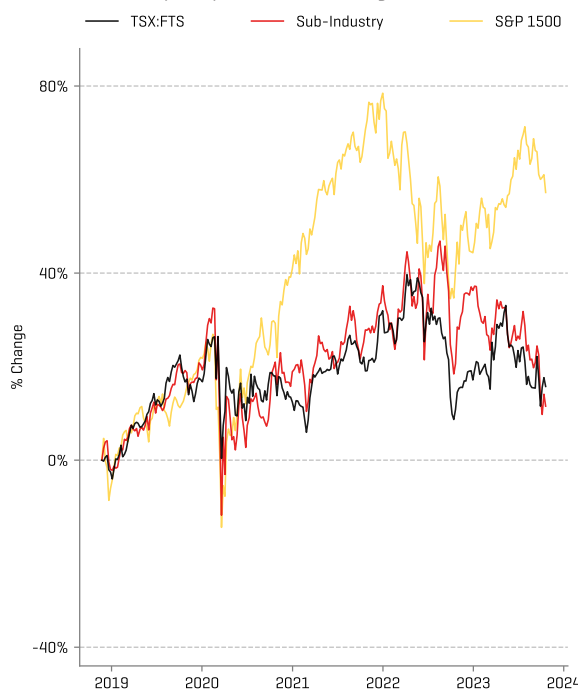
Year-to-date through August 18, the S&P 1500 Electric Utilities Index fell 10.9% versus an 11.1% decrease in the S&P 1500 Utilities Index and a 13.1% increase in the S&P Composite 1500 Index. The sub-industry fell 0.7% in 2022, while the S&P 1500 Utilities Index fell 1.6%, and the S&P Composite 1500 declined 19.1%.

/ Daniel Rich, CFA

Industry Performance**GICS Sector: Utilities****Sub-Industry: Electric Utilities**

Based on S&P 1500 Indexes

Five-Year market price performance through Oct 21, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Electric Utilities Peer Group*: Electric Utilities

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Fortis Inc.	FTS	TSX	CAD	53.97	26,399.0	32.0	44.6	18.0	37.72	4.4	7.2	50.9
Alliant Energy Corporation	LNT	NasdaqGS	USD	49.45	12,505.0	-4.9	-1.8	18.0	N/A	3.7	10.4	52.9
Avangrid, Inc.	AGR	NYSE	USD	30.73	11,885.0	-10.0	-22.5	20.0	N/A	5.7	2.4	26.9
Edison International	EIX	NYSE	USD	64.00	24,530.0	-8.8	12.8	14.0	59.91	4.6	5.4	56.2
Entergy Corporation	ETR	NYSE	USD	93.37	19,744.0	-5.2	-8.2	15.0	96.52	4.6	10.7	59.5
Evergy, Inc.	EVRG	NasdaqGS	USD	48.52	11,145.0	-10.5	-16.8	13.0	N/A	5.0	8.2	45.0
Eversource Energy	ES	NYSE	USD	53.90	18,816.0	-15.5	-27.6	12.0	53.51	5.0	7.7	54.7
FirstEnergy Corp.	FE	NYSE	USD	35.66	20,446.0	-3.1	-3.4	15.0	31.89	4.6	4.7	64.8
Hydro One Limited	HRNN.F	OTCPK	USD	25.54	20,907.0	-2.3	11.5	20.0	N/A	3.4	9.1	49.9
NRG Energy, Inc.	NRG	NYSE	USD	40.76	9,339.0	4.0	-2.9	NM	N/A	3.7	-47.6	68.5
PPL Corporation	PPL	NYSE	USD	23.82	17,557.0	-6.6	-6.0	16.0	23.51	4.0	5.2	50.4

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA-Not Available; NM-Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Fortis Inc.

Analyst Research Notes and other Company News

August 14, 2023

12:15 PM ET... CFRA Maintains Sell Opinion on Shares of Fortis Inc. [FTS 54.44**]: Our 12-month target remains CAD55, 17.7x our 2024 EPS estimate [down \$0.01 to \$3.11; 2023 estimate up \$0.04 to CAD2.99], a discount to FTS's five-year historical average, reflecting somewhat weaker near-term EPS and dividend growth trajectories compared to peers, in our view. Q2 adj. EPS of CAD0.62 vs. CAD0.57 met consensus forecasts, as milder weather at the Arizona utility and a higher share count offset higher earnings across the Canadian utilities, transmission operations, and Caribbean operations. In the pending TEP [Arizona] rate case, a judge recently recommended a \$104M rate increase [about 44% of the original request] with a 9.4% authorized ROE [vs. the 10.25% original request]. If approved, we would see this as a somewhat below-average outcome. FTS also recently filed electric and gas rate cases at Central Hudson [New York], seeking a 9.8% authorized ROE and new customer rates starting in July 2024. Shares recently yielded 4.4%, compared to the 4.3% electric utilities median. / Daniel Rich, CFA

May 03, 2023

11:43 AM ET... CFRA Maintains Sell Opinion on Shares of Fortis Inc. [FTS 60.30**]: We raise our 12-month target C\$1 to C\$55, 18.6x our 2023 EPS estimate [down \$0.01 to C\$2.95; our 2024 EPS estimate remains C\$3.12], in line with FTS's five-year historical average, though a small discount to electric utilities peers. Shares recently traded roughly 13% above the peer median, and our Sell opinion reflects our view that FTS does not merit its historical peer premium given slower near-term EPS and dividend growth expectations. Q1 adj. EPS of C\$0.91 vs. C\$0.78, C\$0.09 ahead of consensus, saw higher earnings across its utilities and transmission subsidiaries, offset somewhat by recent equity dilution. Milder winter weather negatively impacted residential electricity sales at several North American utilities, though FTS's Caribbean retail electric sales rose 6% Y/Y with increased tourism. FTS expects an initial judge's proposal for the pending TEP [AZ] rate case around mid year. / Daniel Rich, CFA

February 10, 2023

01:16 PM ET... CFRA Maintains Sell Opinion on Shares of Fortis, Inc. [FTS 55.37**]: We raise our 12-month target C\$1 to C\$54, 18.2x our '23 EPS estimate [cut \$0.01 to C\$2.96] a small discount to peers and to FTS's 10-year historical average. We start our '24 EPS estimate at \$3.12. Despite its historical valuation premium, we think FTS's current growth expectations warrant a lower valuation. On a three-year [2022-2025] compounded annual basis, we expect dividend growth near 5.1%, below the recent 5.5% median for electric utilities in our coverage universe, while we expect EPS growth near 6.0% vs. the peer median of 6.2% over the same time span. Q4 adj. EPS of \$0.72 vs. \$0.63 gained on higher rate base, increased transmission revenue at the AZ utility, and favorable foreign exchange, offset some by a higher share count. The Arizona Corporation Commission's most recent proposal in the pending TEP [AZ] rate case would grant ~70% of the revenue increase requested by FTS, along with a 9.6% authorized ROE [vs. 10.25% original request], somewhat above recent industry averages. / Daniel Rich, CFA

October 28, 2022

11:18 AM ET... CFRA Reiterates Sell Opinion on Shares of Fortis, Inc. [FTS 52.84**]: We lower our 12-month target C\$5 to C\$53, 17.7x our 2023 EPS estimate [unchanged at C\$2.97; '22 estimate cut \$0.04 to \$2.75], near peers and in line with FTS's 10-year historical average. At the current valuation, we continue to think FTS offers less attractive upside vs. peers with EPS CAGR expectations near 6% through 2025, although expected dividend growth near 6% over the same time frame would exceed the near 5.4% peer average. FTS records Q3 adj. EPS of C\$0.71 vs. C\$0.64, with higher U.S. utility earnings and positive foreign exchange effects from a strengthening USD vs. CAD. FTS highlighted its 2023-2027 capex plan of \$22.3b, with around 26% of the spending targeted at clean energy. Weather-adjusted retail electric sales at UNS [AZ] rose 1% Y/Y. Central Hudson [NY] retail electric sales fell 2% Y/Y with weaker residential demand. The Tucson Electric Power [TEP] rate case [\$159m revenue increase requested] is still pending a final order. / Daniel Rich, CFA

July 28, 2022

12:15 PM ET... CFRA Maintains Sell Opinion on Shares of Fortis, Inc. [FTS 60.26**]: We lower our 12-month target C\$1 to C\$58, 19.5x our 2023 EPS estimate [lowered by C\$0.01 to C\$2.97], near peers and above FTS's five-year average of 18.4x. Our Sell opinion stems from less-attractive upside potential at current valuations, given below-average three-year EPS growth projections near 6.0% vs. 6.8% for peers, in

our view. We cut our 2022 EPS forecast C\$0.01 to C\$2.79. Q2 adj. EPS of C\$0.57 vs. C\$0.55 missed consensus by \$0.03, with share dilution and losses in retirement benefits offsetting rate base growth and favorable foreign exchange. Weather-adjusted retail electric sales at UNS [AZ] fell 1% Y/Y with cooler weather, while Central Hudson retail electric sales rose 10% on higher electric demand across all customer classes. We continue to monitor the Tucson Electric Power [TEP] rate case [\$159m revenue increase requested] given AZ's recently restrictive regulatory environment. Despite an elevated dividend payout ratio, we feel comfortable with FTS's 6% annual dividend growth target. / Daniel Rich

May 04, 2022

11:24 AM ET... CFRA Lowers Opinion on Shares of Fortis, Inc. to Sell from Hold [FTS 61.24**]:

We raise our 12-month target C\$1 to C\$59, 21.1x our 2022 EPS estimate, a small discount to peer targets. Our target is based on FTS's average expected rate base, EPS, and dividend growth [6% CAGR through 2025], coupled with an above average clean energy profile. Our downgrade is based on valuation, with the current price leaving little near-term upside, making it more likely shares will underperform peers, in our opinion. We cut our 2022 EPS forecast C\$0.05 to C\$2.80 and 23's by C\$0.04 to C\$2.98. Q1 adj. EPS of C\$0.78 vs. C\$0.77 met consensus, with rate base growth in western Canada helping offset lower hydroelectric production in Belize and share dilution. Weather-adjusted retail electric sales at UNS [AZ] were flat Y/Y, while Caribbean utility sales rose 7% Y/Y on recovering tourism. In late Q2, we expect rate case filing at Tucson Electric Power [TEP], where FTS saw a favorable outcome in 2020 but could face a more challenging process with recently restrictive decisions for other AZ utilities. / Daniel Rich

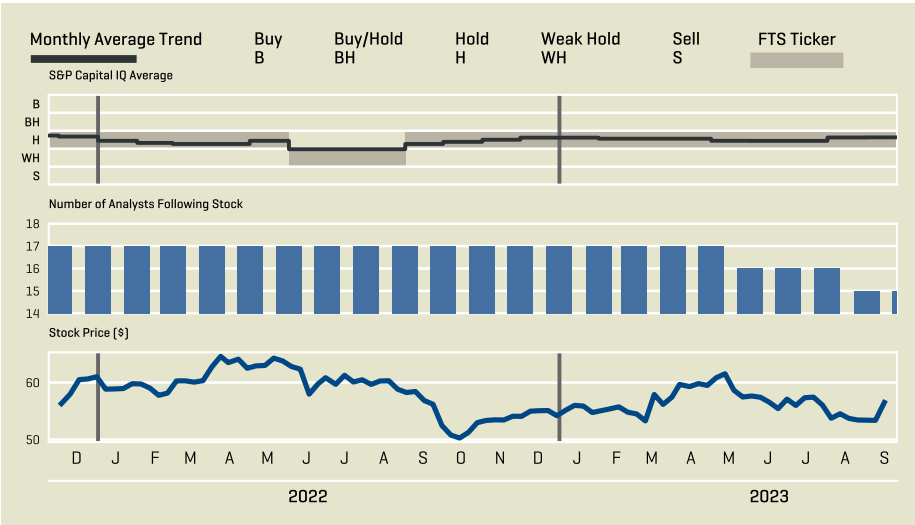
February 11, 2022

05:21 PM ET... CFRA Maintains Hold Opinion on Shares of Fortis Inc. [FTS 59.03***]: We raise our 12-month target for FTS by C\$1 to C\$58, 20.4x our 2022 EPS estimate, a premium to its 18.1x five-year forward average. We keep our 2022 EPS forecast at C\$2.85 and start '23s at C\$3.02. FTS posts Q4 adj. EPS of C\$0.63 vs. C\$0.69, C\$0.08 below consensus, with milder AZ weather and lower hydroelectric production in Belize offsetting higher transmission revenues as well as higher gas rates at the Central Hudson utility. Retail electric sales rose 1% in 2021, with growth at the Caribbean utility on higher tourism volumes and positive trends in BC and Alberta. With roughly 35% of operating earnings from Canada, FX impacts weighed C\$0.10 on 2021 EPS. 2021 capex of C\$3.6B fell short of guidance for C\$3.8B due to pandemic delays and FX considerations. We see long-term EPS and dividend growth near peer averages around 6%, though potential large-scale transmission buildouts in Ontario and the Midwest could provide incremental capex and rate base growth opportunities. / Daniel Rich

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Fortis Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	2	13	2	1
Buy/Hold	3	20	3	2
Hold	7	47	7	10
Weak hold	1	7	1	1
Sell	2	13	2	2
No Opinion	0	0	0	0
Total	15	100	15	16

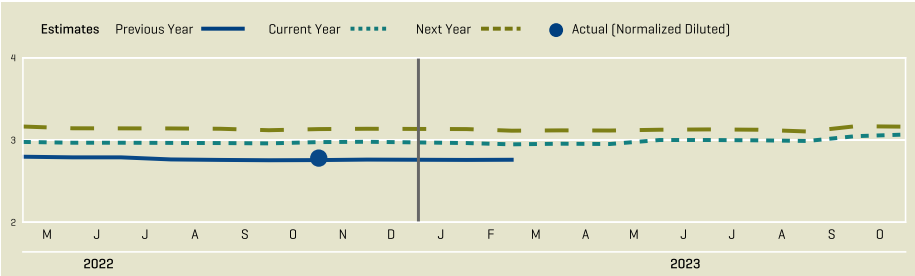
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that FTS will earn CAD 3.07. For fiscal year 2024, analysts estimate that FTS's earnings per share will grow by 3.11% to CAD 3.16.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	3.16	3.26	2.99	15	17.07
2023	3.07	3.16	2.90	15	17.60
2024 vs. 2023	▲ 3%	▲ 3%	▲ 3%	N/A%	▼ -3%
Q3'24	0.82	0.82	0.82	1	65.82
Q3'23	0.81	0.84	0.73	10	66.94
Q3'24 vs. Q3'23	▲ 2%	▼ -2%	▲ 12%	▼ -90%	▼ -2%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Fortis Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Fortis Inc.

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Stocks are ranked in accordance with the following ranking methodologies:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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